



Granules India Limited

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PUBLIC ANNOUNCEMENT FOR THE ATTENTION OF THE EQUITY SHAREHOLDERS / BENEFICIAL OWNERS OF EQUITY SHARES OF GRANULES INDIA LIMITED FOR THE BUYBACK OF EQUITY SHARES THROUGH THE TENDER OFFER ROUTE UNDER THE SECURITIES AND EXCHANGE BOARD OF INDIA (BUY-BACK OF SECURITIES) REGULATIONS, 2018, AS AMENDED FROM TIME TO TIME

THIS PUBLIC ANNOUNCEMENT (THE "PUBLIC ANNOUNCEMENT") IS BEING MADE PURSUANT TO THE PROVISIONS OF REGULATION 7(I) OF THE SECURITIES AND EXCHANGE BOARD OF INDIA (BUY-BACK OF SECURITIES) REGULATIONS, 2018, AS AMENDED (THE "BUYBACK REGULATIONS") AND CONTAINS THE DISCLOSURES AS SPECIFIED IN SCHEDULE II READ WITH SCHEDULE I OF THE BUYBACK REGULATIONS.

OFFER FOR BUYBACK OF UP TO 62,50,000 (SIXTY TWO LAKHS AND FIFTY THOUSAND ONLY) FULLY PAID-UP EQUITY SHARES OF FACE VALUE OF ₹1 (RUPEE ONE ONLY) EACH OF GRANULES INDIA LIMITED AT A PRICE OF ₹400/- (RUPEES FOUR HUNDRED ONLY) PER EQUITY SHARE, PAYABLE IN CASH, ON A PROPORTIONATE BASIS THROUGH THE TENDER OFFER ROUTE USING THE STOCK EXCHANGE MECHANISM.

1. DETAILS OF THE BUYBACK OFFER AND BUYBACK PRICE

- i. The Board of Directors of Granules India Limited (the "Company") (the Board of Directors of the Company hereinafter referred to as the "Board" which term shall be deemed to include any committee constituted by the board to exercise its power), at its meeting held on **August 9, 2022** (the "**Board Meeting**"), pursuant to Article 60 of the Articles of Association of the Company and the provisions of Sections 68, 69, 70 and all other applicable provisions, if any, of the Companies Act, 2013, as amended (the "**Act**"), rules framed under the Act, including the Companies (Share Capital and Debentures) Rules, 2014 (the "**Share Capital Rules**"), including any amendments, statutory modifications or re-enactments thereof, for the time being in force and in compliance of the Securities and Exchange Board of India (Buy-back of Securities) Regulations, 2018, as amended ("**Buyback Regulations**"), the Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015, as amended, ("**Listing Regulations**"), the Foreign Exchange Management (Transfer or Issue of Security by a Person Resident outside India) Regulations, 2017, as amended and such other approvals, permissions and sanctions as may be necessary and subject to any modifications and conditions, if any, as may be prescribed by the Securities and Exchange Board of India ("**SEBI**"), Registrar of Companies, Telangana at Hyderabad (the "**ROC**") and / or other appropriate authorities or bodies (the "Appropriate Authorities"), as may be necessary and subject to such conditions and modifications as may be prescribed or imposed while granting such approvals, permissions and sanctions which may be agreed to by the Board, approved the proposal for buyback of up to 62,50,000 (Sixty Two Lakhs and Fifty Thousand Only) fully paid up equity shares of the Company, having a face value of ₹1 (Rupee One Only) each (hereinafter referred to as the "**Equity Shares**" or "**Shares**") representing 2.52% of the total number of equity shares in the paid-up share capital of the Company, at a price of ₹400/- (Rupees Four Hundred Only) per fully paid up Equity Share ("**Buyback Price**") payable in cash for a maximum amount not exceeding ₹250 crores (Rupees Two Hundred and Fifty Crores Only) ("**Buyback Size**"), representing 9.93% and 9.92% of the aggregate of the fully paid-up equity share capital and free reserves of the Company as per the latest audited standalone and consolidated financial statements of the Company as at March 31, 2022 respectively and is within the 10% limit of paid-up equity share capital and free reserves (including securities premium account) of the Company, as per the latest audited standalone and consolidated financial statements of the Company as at March 31, 2022 respectively. The Buyback is proposed to be undertaken from the equity shareholders of the Company as on the record date i.e. August 23, 2022 ("**Record Date**") on a proportionate basis, through the Tender Offer route in accordance with the provisions contained in the Buyback Regulations and the Companies Act, 2013 and rules made thereunder (the "**Buyback**") (including any statutory modification(s) or re-enactment of the Act or Buyback Regulations, for the time being in force).

- ii. The Buyback Size does not include any expenses incurred or to be incurred for the Buyback like filing fees payable to the Securities and Exchange Board of India, brokerage, applicable taxes (such as income tax, buyback taxes, securities transaction tax, stamp duty and goods and service tax), advisors' fees, public announcement publication expenses, printing and dispatch expenses and other incidental and related expenses. (such expenses referred to as "**Transaction costs**").

- iii. The Buyback Size represents 9.93% and 9.92% of the aggregate of the fully paid-up Equity Share capital and free reserves as per the latest audited standalone and consolidated financial statements of the Company as at March 31, 2022 respectively, and is within the statutory limit of 10% of the aggregate of the fully paid-up Equity Share capital and free reserves of the Company, based on both latest audited standalone and consolidated financial statements of the Company, under the Board of Directors approval route as per the provisions of the Act and the Buyback Regulations. Further, the total number of Equity Shares proposed to be bought back by the Company is up to 62,50,000 Equity Shares which represents 2.52% of the total number of Equity Shares in the paid-up Equity Share Capital of the Company as on March 31, 2022, the same is within the limit of 25% of the total paid-up Equity Share capital as per the provisions of the Act and the Buyback Regulations.

- iv. The Equity Shares of the Company are listed on the NSE and BSE (hereinafter together referred to as the "**Stock Exchanges**").

- v. The Buyback is in accordance with Section 68 and other applicable provisions of the Act, Buyback Regulations, Listing Regulations and Article 60 of the Articles of Association of the Company. The Buyback will be undertaken on a proportionate basis from the equity shareholders of the Company as on the Record Date ("Eligible Shareholders") through the tender offer process prescribed under Regulation 4(iv)(a) and 6 of the Buyback Regulations. Additionally, the Buyback shall be, subject to applicable laws, implemented by the Company using the "Mechanism for Acquisition of Shares through Stock Exchange" as specified by SEBI in the circular bearing reference number CIR/CFD/POLICYCELL/1/2015 dated April 13, 2015; circular bearing reference number CFD/DCR/2/CIR/P/2016/131 dated December 09, 2016; and circular bearing reference number SEBI/HO/CFD/DCR-III/CIR/P/2021/615 dated August 13, 2021 ("**SEBI Circulars**"). The Buyback is subject to other approvals, permissions and exemptions as may be required from time to time from any statutory and/or regulatory authority including SEBI and the Stock Exchanges. For the purpose of this Buyback, BSE Limited (hereinafter referred to as "**BSE**") will be the designated stock exchange (the "**Designated Stock Exchange**") and the Company will request BSE to provide a separate acquisition window ("**Acquisition Window**") to facilitate the Buyback.

- vi. In terms of the Buyback Regulations, under the Tender Offer route, promoters, members of the promoter group and persons in control of the Company have the option to participate in a buyback. In this regard, the Promoter and members of the Promoter Group of the Company, vide their respective letters dated August 9, 2022, have expressed their intention to participate in the Buyback and tender Equity Shares to the extent of their entitlement. The extent of their participation in the Buyback has been detailed in Paragraph 6 of this Public Announcement.

- vii. The Buyback will not result in any benefit to the Promoter, members of the promoter group, or any directors or key managerial personnels of the Company except to the extent of the cash consideration received by them from the Company pursuant to their respective participation in the Buyback in their capacity as equity shareholders of the Company, and the change in their shareholding as per the response received in the Buyback, as a result of the extinguishment of Equity Shares which will lead to a reduction in the equity share capital of the Company post Buyback. The Buyback would be subject to the condition of maintaining minimum public shareholding requirements as specified in Regulation 38 of the Listing Regulations. Any change in voting rights of the Promoter and members of the Promoter Group of the Company pursuant to completion of Buyback will not result in any change in control over the Company.

- viii. The Buyback of Equity Shares may be subject to taxation in India and in the Country of Residence of the Eligible Shareholders. In due course, Eligible Shareholders will receive a Letter of Offer, which will contain a more detailed note on taxation. However, in view of the particularized nature of tax consequences, Eligible Shareholders are required to consult their tax advisors for the applicable tax provisions including the treatment that may be given by their respective tax officers in their case, and the appropriate course of action that they should take.

- ix. The Buyback from Eligible Shareholders who are persons resident outside India, including the foreign portfolio investors, erstwhile overseas corporate bodies and non-resident Indians, etc., shall be subject to such approvals if, and to the extent necessary or required from the concerned authorities including approvals from the RBI under the Foreign Exchange Management Act, 1999, as amended and the rules, regulations framed thereunder, if any and such approvals shall be required to be taken by such non-resident shareholders.

- x. A copy of this Public Announcement is available on the Company's website (www.granulesindia.com) and is expected to be available on the website of SEBI (www.sebi.gov.in) during the period of the Buyback and on the website of Stock Exchanges (www.bseindia.com) and (www.nseindia.com).

2. NECESSITY OF THE BUYBACK

- i. The Company has been generating significant amounts of cash on an ongoing basis. The current Buyback proposal is in line with the Company's capital allocation practices of returning excess cash to shareholders, thereby increasing shareholder value in the longer term, and improving the Return on Equity. The Company believes that the Buyback is being undertaken by the Company after taking into account the operational and strategic cash requirements of the Company in the medium term and for returning surplus funds to the shareholders in an effective and efficient manner. The Buyback is being undertaken for the following reasons:

2.1.1. The Buyback will help the Company to distribute surplus cash to its equity shareholders thereby, enhancing the overall return to shareholders;

2.1.2. The Buyback, which is being implemented through the tender offer route as prescribed under the Buyback Regulations, would involve a reservation of up to 15% of the Equity Shares, which the Company proposes to buyback, for small shareholders or the actual number of Equity Shares entitled as per the shareholding of small shareholders on the Record Date, whichever is higher. The Company believes that this reservation for small shareholders would benefit a significant number of the Company's public shareholders, who would be classified as "Small Shareholders";

2.1.3. The Buyback is generally expected to improve return on equity through distribution of cash and improve earnings per share by reduction in the equity base of the Company, thereby leading to long term increase in shareholders' value; and

2.1.4. The Buyback gives an option to the Eligible Shareholders to either (A) participate in the Buyback and receive cash in lieu of their Equity Shares which are accepted under the Buyback, or (B) not to participate in the Buyback and get a resultant increase in their percentage shareholding in the Company post the Buyback, without additional investment.

3. MAXIMUM AMOUNT REQUIRED UNDER THE BUY-BACK AND ITS PERCENTAGE OF THE TOTAL PAID UP CAPITAL AND FREE RESERVES

- i. The maximum amount required for Buyback will not exceed ₹250 crores (Rupees Two Hundred and Fifty crores only) (excluding Transaction Costs). The Buyback Size constitutes 9.93% and 9.92% of the aggregate of the total paid-up equity share capital and free reserves, as per the latest audited

standalone and consolidated financial statements of the Company as at March 31, 2022, respectively, which is within the statutory limit of 10% of the total paid-up equity capital and free reserves of the Company as at March 31, 2022 and is in compliance with Regulation 4(i) of the Buyback Regulations and Section 68(2) of the Act.

- ii. The funds for the implementation of the proposed Buyback will be sourced out of the free reserves of the Company and/or such other sources as may be permitted by law. The funds borrowed from banks and financial institutions, if any, will not be used for the Buyback.

- iii. The Company shall transfer from its free reserves and / or such other sources as may be permitted by law, a sum equal to the nominal value of the Equity Shares bought back through the Buyback to the capital redemption reserve account and the details of such transfer shall be disclosed in its subsequent audited financial statements.

4. MAXIMUM PRICE FOR BUYBACK OF THE EQUITY SHARES AND BASIS OF ARRIVING AT THE BUYBACK PRICE

- i. The Equity Shares are proposed to be bought back at a price of ₹400/- (Rupees Four Hundred only) per Equity Share
- ii. The Buyback Price has been arrived at after considering various factors including, but not limited to the net worth of the Company, price earnings ratio, impact on other financial parameters and the possible impact of Buyback on the earnings per Equity Share, the trends in the volume weighted average prices and the closing price of the Equity Shares at NSE and BSE where the Equity Shares are listed.
- iii. The Buyback Price represents:
- 4.iii.1. premium of 31.55% on NSE and 31.31% on BSE over the volume weighted average market price of the Equity Shares during the 2 (two) weeks period preceding the date of prior intimation to NSE and BSE of the date of the Board Meeting wherein proposal of the Buyback was proposed and approved;
- 4.iii.2. premium of 45.02% on NSE and 46.61% on BSE over the volume weighted average market price of the Equity Shares during the 3 (three) months period preceding the date of prior intimation to NSE and BSE of the date of the Board Meeting wherein proposal of the Buyback was proposed and approved;
- 4.iii.3. premium of 27.35% on NSE and 27.41% on BSE over the closing price of the Equity Shares as on the date of the Board Meeting. The closing market price of the Equity Shares on NSE and BSE as on date of the Board Meeting was ₹314.10/- and ₹313.95/- respectively.

Note: Since the date of Board meeting was a trading holiday of the Stock Exchanges, calculations in 4.iii.3 has been made taking the data of the previous trading day i.e. August 8, 2022

5. MAXIMUM NUMBER OF EQUITY SHARES THAT THE COMPANY PROPOSES TO BUYBACK

The Company proposes to buyback up to 62,50,000 (Sixty Two Lakhs and Fifty Thousand Only) Equity Shares, which is within 25% of total number of outstanding Equity Shares of the Company, representing 2.52% of the total number of Equity Shares in the paid-up share capital of the Company as per its latest audited standalone and consolidated financial statements as at March 31, 2022.

6. DETAILS OF SHAREHOLDING, TRANSACTIONS IN THE EQUITY SHARES OF THE COMPANY AND INTENTION OF PROMOTER AND PROMOTER GROUP TO PARTICIPATE IN THE BUYBACK

- i. The shareholding of the promoter and promoter group of the Company (the "**Promoter and Promoter Group**") as on the date of the Board Meeting i.e. **August 9, 2022** is given below:

Sr. No.	Name of Shareholder	Category	Number of Equity Shares held	% of Shareholding
1.	Krishna Prasad Chigurupati	Promoter	8,62,96,272	34.76%
2.	Chigurupati Uma Devi	Promoter Group	94,59,687	3.81%
3.	Priyanka Chigurupati	Promoter Group	18,61,706	0.75%
4.	Pragnya Chigurupati	Promoter Group	18,85,346	0.76%
5.	Santhi Sree Ramanavarapu	Promoter Group	8,76,154	0.35%
6.	Suseela Devi Chigurupati	Promoter Group	65,000	0.03%
7.	Nikhila Reddy Yadagiri	Promoter Group	29,500	0.01%
8.	Venkata Mahesh Krishna Narra	Promoter Group	5,000	0.00%
9.	Tyche Investments Private Limited	Promoter Group	36,36,721	1.46%
Total			10,41,15,386	41.93%

The aggregate shareholding of the directors of company (ies) which are part of the Promoter and Promoter Group as on the date of the Board Meeting i.e. August 9, 2022 is given below:

Sr. No.	Name of the Directors of Tyche Investments Private Limited	Category	Number of Equity Shares held	% of Shareholding
1.	Krishna Prasad Chigurupati	Promoter	8,62,96,272	34.76%
2.	Chigurupati Uma Devi	Promoter Group	94,59,687	3.81%

Details of shareholding of the Directors and Key Managerial Personnel of the Company as on the date of the Board Meeting i.e. August 9, 2022 is given below:

Sr. No.	Name of Directors / Key Managerial Personnel	Designation	Number of Equity Shares held	% of Shareholding
1.	Krishna Prasad Chigurupati	Chairman & Managing Director	8,62,96,272	34.76%
2.	Chigurupati Uma Devi	Executive Director	94,59,687	3.81%
3.	K. B. Sankara Rao	Non-Executive Director	29,95,863	1.21%
4.	Arun Rao Akinepally	Independent Director	10,000	0.00%
5.	Chaitanya Tummala	Key Managerial Personnel	52,980	0.02%

- ii. The persons mentioned in sub clause 6.i have not purchased or sold any shares of the Company during a period of six months preceding the date of the Board Meeting i.e. August 9, 2022 except as follows:

Sr. No.	Name of the Shareholder	Category	No of shares acquired / (sold)	Nature of transaction	Maximum Price per Share (₹)	Date of maximum price	Minimum Price per Share (₹)	Date of minimum price
1.	Venkata Mahesh Krishna Narra	Promoter Group	5,000	Open Market	283	February 25, 2022	283	February 25, 2022
2.	Chaitanya Tummala	Key Managerial Personnel	17,660	Allotment pursuant to ESOP scheme	97	July 11, 2022	97	July 11, 2022

Intention of Promoter and Promoter Group to participate in Buyback:

In terms of the Buyback Regulations, under the tender offer route, the Promoters and members of the Promoter Group have the option to participate in the Buyback. In this regard, the Promoter and members of the Promoter Group have expressed their intention vide their respective letters dated August 9, 2022 to participate in the Buyback and tender Equity Shares to the extent of their entitlement.

Details of the date and price of acquisition / transfer of the Equity Shares of the Promoters and members of the Promoter Group of the Company who intends to tender their Equity Shares in the Buyback are set out below:

i. Krishna Prasad Chigurupati

Date of Transaction	Nature of transaction	Number of Equity Shares acquired / (sold)	Face Value (₹)	Acquisition / Transfer Price Per Share (₹)*	Consideration (Cash, other than cash)
30-03-1994	Purchase	3,04,182	10	10.00	Cash
10-10-1994	Purchase	3,74,700	10	10.00	Cash
15-11-1995	Purchase	3,79,450	10	20.00	Cash
14-08-1996	Purchase	1,200	10	22.00	Cash
16-10-2000	Sale	(77,400)	10	23.00	Cash
09-06-2001	Shares acquired upon merger of Triton Laboratories Limited	13,63,667	10	–	Other than Cash
15-05-2002	Purchase	14,02,524	10	14.26	Cash
14-06-2002	Purchase	10,51,894	10	14.26	Cash
26-12-2002	Sale	(10,000)	10	29.00	Cash
30-12-2002	Sale	(1,00,000)	10	29.28	Cash
31-12-2002	Sale	(1,45,000)	10	30.28	Cash
01-01-2003	Sale	(50,000)	10	31.05	Cash
02-01-2003	Sale	(2,00,000)	10	35.92	Cash
03-01-2003	Sale	(2,50,000)	10	40.50	Cash
07-01-2003	Sale	(1,00,000)	10	40.10	Cash
08-01-2003	Sale	(1,00,000)	10	38.50	Cash
09-01-2003	Sale	(45,000)	10	38.15	Cash
13-05-2003	Sale	(2,00,000)	10	48.18	Cash
14-05-2003	Sale	(3,00,000)	10	50.73	Cash
19-01-2007	Purchase	1,94,037	10	102.50	Cash
26-03-2007	Transferred as Gift	(42,000)	10	–	Other than Cash
03-05-2007	Transferred as Gift	(44,000)	10	–	Other than Cash
19-06-2007	Purchase	10,00,180	10	102.50	Cash
03-04-2008	Purchase	50,000	10	90.98	Cash
03-05-2008	Purchase	25,000	10	90.64	Cash

03-07-2008	Purchase	7,000	10	86.71	Cash
13-03-2008	Purchase	4,000	10	83.75	Cash
14-03-2008	Purchase	4,736	10	81.08	Cash
17-03-2008	Purchase	4,000	10	79.25	Cash
18-03-2008	Purchase	264	10	71.97	Cash
28-03-2008	Sale	(6,82,927)	10	102.50	Cash
30-06-2008	Transferred as gift	(50,000)	10	–	Other than Cash
15-07-2008	Purchase	28,512	10	47.90	Cash
16-07-2008	Purchase	5,18,960	10	50.00	Cash
17-07-2008	Purchase	2,778	10	52.96	Cash
18-07-2008	Purchase	2,061	10	52.96	Cash
28-07-2008	Purchase	642	10	52.96	Cash
29-07-2008	Purchase	2,420	10	52.96	Cash
30-07-2008	Purchase	3,27,565	10	52.96	Cash
06-10-2010	Purchase	55,000	10	103.24	Cash
12-10-2010	Purchase	2,50,000	10	107.38	Cash
13-10-2010	Purchase	75,000	10	106.20	Cash
01-11-2010	Purchase	1,67,173	10	92.17	Cash
03-11-2010	Purchase	2,877	10	92.97	Cash
15-02-2011	Purchase	4,043	10	92.17	Cash
16-02-2011	Purchase	3,438	10	92.17	Cash
17-02-2011	Purchase	10,987	10	90.47	Cash
24-03-2011	Purchase	1,50,000	10	92.41	Cash
29-03-2011	Purchase	2,90,000	10	93.00	Cash
10-05-2011	Purchase	2,20,000	10	91.00	Cash
30-03-2012	Purchase	6,53,700	10	79.09	Cash
02-07-2013	Purchase	9,33,364	10	130.33	Cash
12-08-2013	Purchase	4,511	10	132.78	Cash

24-03-2015 Split (from ₹10/- to ₹1/-) Pursuant to split of face value of Equity Shares from ₹10/- to ₹1/- the number of equity shares held by Krishna Prasad Chigurupati changed from 74,73,538 Equity Shares of ₹10 each to 7,47,35,380 Equity Shares of ₹1 each

31-10-2015	Purchase	40,95,230	1	84.91	Cash
12-02-2016	Received as gift	4,00,000	1	–	Other than Cash
16-02-2017	Sale	(75,51,000)	1	122.00	Cash
09-10-2017	Purchase	2,85,450	1	125.42	Cash
24-11-2017	Purchase	1,43,463	1	125.50	Cash
22-03-2018	Purchase	2,32,21,404	1	101.85	Cash
08-03-2019	Sale	(50,00,000)	1	101.08	Cash
25-06-2020	Buy-Back	(40,42,455)	1	200.00	Cash
02-03-2021	Gift	8,800	1	–	Other than Cash
Total Current Holding		8,62,96,272			

ii. Chigurupati Uma Devi

Date of Transaction	Nature of transaction	Number of Equity Shares acquired / (sold)	Face Value (₹)	Acquisition / Transfer Price Per Share (₹)*	Consideration (Cash, other than cash)
10-10-1994	Purchase	3,61,000	10	10.00	Cash
15-11-1995	Purchase	20,000	10	20.00	Cash
09-06-2001	Shares acquired upon merger of Triton Laboratories Limited	2,11,400	10	–	Other than Cash
21-05-2004	Purchase	1,65,600	10	83.00	Cash
24-03-2015	Split (from ₹10/- to ₹1/-)				Pursuant to split of face value of Equity Shares from ₹10/- to ₹1/- the number of equity shares held by Chigurupati Uma Devi changed from 7,58,000 Equity Shares of ₹10 each to 75,80,000 Equity Shares of ₹1 each
09-10-2017	Purchase	30,000	1	126.27	Cash
24-11-2017	Purchase	15,200	1	125.40	Cash
20-12-2017	Received as gift	22,77,660	1	–	Other than Cash
25-06-2020	Buy-Back	(4,43,173)	1	200.00	Cash
Total Current Holding		94,59,687			

iii. Priyanka Chigurupati

Date of Transaction	Nature of transaction	Number of Equity Shares acquired / (sold)	Face Value (₹)	Acquisition / Transfer Price Per Share (₹)*	Consideration (Cash, other than cash)
18-07-1991	Purchase	1,875	10	10.00	Cash
13-02-1992	Purchase	25,000	10	10.00	Cash
20-02-1995	Purchase	2,500	10	10.00	Cash
15-11-1995	Purchase	5,750	10	20.00	Cash
09-06-2001	Shares acquired upon merger of Triton Laboratories Limited	30,687	10	–	Other than Cash
21-05-2004	Purchase	82,800	10	83.00	Cash
26-03-2007	Received as gift	21,000	10	–	Other than Cash
30-06-2008	Received as gift	25,000	10	–	Other than Cash
24-03-2015	Split (from ₹10/- to ₹1/-)	Pursuant to split of face value of Equity Shares from ₹10/- to ₹1/-, the number of equity shares held by Priyanka Chigurupati changed from 1,94,612 Equity Shares of ₹10 each to 19,46,120 Equity Shares of ₹1 each			
03-11-2015	Purchase	150	1	147.41	Cash
08-12-2015	Purchase	101	1	147.41	Cash
18-12-2015	Purchase	385	1	156.02	Cash
06-05-2016	Purchase	300	1	126.21	Cash
23-05-2016	Purchase	300	1	129.12	Cash
01-09-2016	Purchase	542	1	129.02	Cash
10-01-2017	Purchase	2,500	1	104.80	Cash
03-10-2017	Purchase	3,500	1	114.00	Cash
11-06-2018	Purchase	3,700	1	80.85	Cash
25-06-2020	Buy-Back	(87,092)	1	200.00	Cash
02-03-2021	Gift	(8,800)	1	–	Other than Cash
Total Current Holding		18,61,706			

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16-11-2018	Purchase	4,825	1	100.73	Cash
25-06-2020	Buy-Back	(87,674)	1	200.00	Cash
Total Current Holding		18,85,346			

v. Santhi Sree Ramanavarapu

Date of Transaction	Nature of transaction	Number of Equity Shares acquired / (sold)	Face Value (₹)	Acquisition / Transfer Price Per Share (₹)*	Consideration (Cash, other than cash)
30-10-2014	Received vide transmission	83,500	10	–	Other than Cash
10-11-2014	Purchase	200	10	781.90	Cash
24-11-2014	Purchase	100	10	785.50	Cash
24-03-2015	Split (from ₹10/- to ₹1/-)	Pursuant to split of face value of Equity Shares from ₹10/- to ₹1/- the number of equity shares held by Santhi Sree Ramanavarapu changed from 83,800 Equity Shares of ₹10 each to 8,38,000 Equity Shares of ₹1 each			
29-07-2015	Purchase	10,000	1	118.84	Cash
21-08-2015	Purchase	1,000	1	124.42	Cash
24-08-2015	Purchase	4,000	1	115.85	Cash
25-08-2015	Purchase	1,800	1	103.23	Cash
31-08-2015	Purchase	10,000	1	125.43	Cash
02-09-2015	Purchase	3,000	1	121.06	Cash
03-09-2015	Purchase	5,000	1	122.17	Cash
04-09-2015	Purchase	10,000	1	117.85	Cash
08-09-2015	Purchase	1,600	1	106.54	Cash
10-09-2015	Purchase	100	1	110.12	Cash
15-09-2015	Purchase	2,000	1	115.85	Cash
16-09-2015	Purchase	5,000	1	116.00	Cash
21-09-2015	Purchase	1,500	1	121.14	Cash
22-09-2015	Purchase	7,000	1	132.65	Cash
23-09-2015	Purchase	3,000	1	134.36	Cash
24-09-2015	Purchase	3,400	1	142.78	Cash
10-11-2015	Purchase	5,000	1	145.58	Cash
04-12-2015	Purchase	2,500	1	154.70	Cash
07-12-2015	Purchase	2,500	1	155.81	Cash
09-12-2015	Purchase	800	1	149.67	Cash
25-06-2020	Buy-Back	(41,046)	1	200.00	Cash
Total Current Holding		8,76,154			

vi. Tyche Investments Private Limited

Date of Transaction	Nature of transaction	Number of Equity Shares acquired / (sold)	Face Value (₹)	Acquisition / Transfer Price Per Share (₹)*	Consideration (Cash, other than cash)
15-08-2001	Purchase	66,200	10	12.56	Cash
24-03-2015	Split (from ₹10/- to ₹1/-)	Pursuant to split of face value of Equity Shares from ₹10/- to ₹1/- the number of equity shares held by Tyche Investments Private Limited changed from 66,200 Equity Shares of ₹10 each to 6,62,000 Equity Shares of ₹1 each			
30-03-2016	Purchase	72,55,000	1	95.30	Cash
28-12-2016	Purchase	39,17,454	1	95.30	Cash
16-02-2017	Purchase	75,51,000	1	122.00	Cash
23-03-2017	Purchase	74,83,546	1	95.30	Cash
09-10-2017	Purchase	1,06,000	1	126.42	Cash
24-11-2017	Purchase	53,500	1	126.11	Cash
22-03-2018	Sale	(2,32,21,404)	1	101.85	Cash
25-06-2020	Buy-Back	(1,70,375)	1	200.00	Cash
Total Current Holding		36,36,721			

vii. Suseela Devi Chigurupati

Date of Transaction	Nature of transaction	Number of Equity Shares acquired / (sold)	Face Value (₹)	Acquisition / Transfer Price Per Share (₹)*	Consideration (Cash, other than cash)
02-11-1992	Purchase	100	10	10.00	Cash
20-02-1995	Purchase	1,500	10	10.00	Cash
15-11-1995	Purchase	12,300	10	20.00	Cash
20-02-2007	Purchase	1,100	10	100.85	Cash
16-02-2011	Purchase	1,000	10	92.17	Cash
21-11-2012	Purchase	500	10	158.50	Cash
14-02-2014	Transferred as gift	(10,000)	10	–	Other than Cash
11-07-2014	Received vide transmission	10,100	10	–	Other than Cash
24-03-2015	Split (from ₹10/- to ₹1/-)	Pursuant to split of face value of Equity Shares from ₹10/- to ₹1/- the number of equity shares held by Suseela Devi Chigurupati changed from 16,600 Equity Shares of ₹10 each to 1,66,000 Equity Shares of ₹1 each			
17-02-2020	Transferred as Gift	(1,01,000)	1	–	Other than Cash
Total Current Holding		65,000			

viii. Nikhila Reddy Yadagiri

Date of Transaction	Nature of transaction	Number of Equity Shares acquired/ (sold)	Face Value (₹)	Acquisition/ Transfer Price Per Share (₹)*	Consideration (Cash, other than cash)
30-12-2015	Purchase	29,500	1	149.80	Cash
Total Current Holding		29,500			

7. CONFIRMATIONS FROM THE COMPANY AS PER THE PROVISIONS OF THE BUYBACK REGULATIONS AND THE ACT:
- 7.1

All the equity shares for Buyback are fully paid-up;
- 7.2

The Company shall not issue and allot any Equity Shares or other specified securities including by way of bonus or convert any outstanding employee stock options / outstanding instruments into Equity Shares, from the date of the Board Meeting till the date of payment of consideration to shareholders who have accepted the Buyback;
- 7.3

The Company shall not raise further capital for a period of one year from the expiry of the Buyback period, i.e., the date on which the payment of consideration is made to the shareholders who have accepted the Buyback, except in discharge of subsisting obligations such as conversion of warrants, stock option schemes, sweat equity or conversion of preference shares or debentures into Equity Shares;
- 7.4

The Company has not undertaken a buyback of any of its securities during the period of one year immediately preceding the date of the Board Meeting.
- 7.5

The Company shall not buy back locked-in Equity Shares and non-transferable Equity Shares till the pendency of the lock-in or till the Equity Shares become transferable;
- 7.6

The Company shall not buy back its Equity Shares from any person through negotiated deal whether on or off the Stock Exchanges or through spot transactions or through any private arrangement in the implementation of the Buyback;
- 7.7

The Buyback Size i.e., ₹250 crores (Rupees Two Hundred and Fifty crores only) does not exceed 10% of the aggregate of the fully paid-up Equity Share capital and free reserves of the Company as per the latest audited standalone and consolidated financial statements of the Company as at March 31, 2022;
- 7.8

The Company is in compliance with the provisions of Sections 92, 123, 127 and 129 of the Act.
- 7.9

The Company shall not withdraw the Buyback after the draft letter of offer is filed with SEBI or public announcement of the Buyback is made;
- 7.10

The Company shall not make any offer of buy back within a period of one year reckoned from the expiry of the Buyback period i.e., the date on which the payment of consideration is made to the shareholders who have accepted the Buyback;
- 7.11

There is no pendency of any scheme of amalgamation or compromise or arrangement pursuant to the provisions of the Act;
- 7.12

The buyback shall be completed within a period of one (1) year from the date of passing of the board resolution approving the buyback;
- 7.13

As required under Section 68(2)(d) of the Act and the Buyback Regulations, the ratio of the aggregate of secured and unsecured debts owed by the Company shall not be more than twice the paid-up Equity Share capital and free reserves after the Buyback, based on the standalone and consolidated financial statements of the Company;
- 7.14

There are no defaults subsisting in the repayment of deposits accepted either before or after the commencement of the Act, interest payment thereon, redemption of debentures or interest payment thereon, or redemption of preference shares or payment of dividend to any shareholder, or repayment of any term loan or interest payable thereon to any financial institution or banking company.
- 7.15

The Company shall not directly or indirectly facilitate the Buyback:

i.

through any subsidiary company including its own subsidiary company; or

ii.

through any investment company or group of investment companies.
- 7.16

The Equity Shares bought back by the Company will be extinguished and physically destroyed in the manner prescribed under the Buyback Regulations and the Act within 7 (seven) days of the expiry of the Buyback period, i.e., the date on which the payment of consideration is made to the shareholders who have accepted the Buyback;
- 7.17

The consideration for the Buyback shall be paid only by way of cash;
- 7.18

That the maximum number of Equity Shares proposed to be purchased under the Buyback does not exceed 25% of the total number of Equity Shares in paid-up Equity Share capital of the Company as on date of the Board Meeting;
- 7.19

The Company shall not allow buy back of its Equity Shares unless the consequent reduction of its share capital is affected;
- 7.20

The Company shall not utilise any funds borrowed from banks or financial institutions in fulfilling its obligations under the Buyback;
- 7.21

The Company shall not buy-back its shares or other specified securities so as to delist its shares or other specified securities from the stock exchange as per Regulation 4(v) of Buyback Regulations;
- 7.22

As per Regulation 24(i)(e) of the Buyback Regulations, the Promoters and members of promoter group, and their associates be advised that they shall not deal in the Equity Shares or other specified securities of the Company either through the stock exchanges or off-market transactions (including inter-se transfer
- of Equity Shares among the promoters and members of the promoter group) from the date of the Board Meeting till the closing of the Buyback offer;
- 7.23 The statements contained in all the relevant documents in relation to the Buyback shall be true, material and factual and shall not contain any mis-statements or misleading information.
- 7.24 The Company shall comply with the statutory and regulatory timelines in respect of the buyback in such manner as prescribed under the Act and / or the Buyback Regulations and any other applicable laws;
- 7.25 The Company shall transfer from its free reserves or securities premium account, a sum equal to the nominal value of the Equity Shares bought back through the Buyback to the Capital Redemption Reserve account.
8. CONFIRMATIONS FROM THE BOARD
- As required by clause (x) of Schedule I of the Buyback Regulations, the Board confirms that it has made a full enquiry into the affairs and prospects of the Company and has formed an opinion:
- 8.1 That immediately following the date of the Board meeting i.e. August 9, 2022, there will be no grounds on which the Company could be found unable to pay its debts;
- 8.2 That as regards the Company's prospects for the year immediately following the date of the Board Meeting and having regard to the Board's intentions with respect to the management of the Company's business during that year and to the amount and character of the financial resources, which will, in the Board's view, be available to the Company during that year, the Company will be able to meet its liabilities as and when they fall due and will not be rendered insolvent within a period of one year from the date of the Board Meeting; and
- 8.3 In forming its opinion aforesaid, the Board has taken into account the liabilities (including prospective and contingent liabilities) as if the Company were being wound up under the provisions of the Act or the Insolvency and Bankruptcy Code, 2016.
9. REPORT ADDRESSED TO THE BOARD OF DIRECTORS BY THE COMPANY'S STATUTORY AUDITORS
- The text of the report dated August 9, 2022 received from S.R. Batliboi & Associates LLP, Chartered Accountants, the Statutory Auditors of the Company, addressed to the Board of Directors of the Company is reproduced below:
- Quote
- Independent Auditor's Report on the proposed buy back of equity shares pursuant to the requirements of Section 68 and Section 70 of the Companies Act, 2013 and Clause (xi) of Schedule I of the Securities and Exchange Board of India (Buy-back of Securities) Regulations, 2018 as amended
- To
The Board of Directors
Granules India Limited
Hyderabad, Telangana
1.

This Report is issued in accordance with the terms of our service scope letter engagement letter dated August 08, 2022 and master engagement agreement August 01, 2022 with Granules India Limited (hereinafter the "Company").

2.

The proposal of the Company to buy back its equity shares in pursuance of the provisions of Section 68 and 70 of the Companies Act, 2013 ("the Act") and Clause (xi) of Schedule I of Securities and Exchange Board of India (Buy-back of Securities) Regulations, 2018, as amended ("the SEBI Buyback Regulations") has been approved by the Board of Directors of the Company in their meeting held on August 09, 2022. The Company has prepared the attached "Statement of determination of the amount of permissible capital payment for proposed buyback of equity shares" (the "Statement") which we have initialed for identification purposes only.
- Board of Directors Responsibility
3.

The preparation of the Statement is the responsibility of the Board of Directors of the Company, including the preparation and maintenance of all accounting and other relevant supporting records and documents. This responsibility includes the design, implementation and maintenance of internal control relevant to the preparation and presentation of the Statement and applying an appropriate basis of preparation; and making estimates that are reasonable in the circumstances.

4.

The Board of Directors are responsible to make a full inquiry into the affairs and prospects of the Company and to form an opinion as specified in clause (x) of Schedule I to the SEBI Buyback Regulations on reasonable grounds and that the Company will not, having regard to its state of affairs, will not be rendered insolvent within a period of one year from that date. The Board of Directors are also responsible for ensuring that the Company complies with the requirements of the Act and SEBI Buyback Regulations.
- Auditor's Responsibility
5.

Pursuant to the requirements of the Act and SEBI Buyback Regulations, it is our responsibility to provide reasonable assurance:

(i)

Whether we have inquired into the state of affairs of the Company in relation to its audited standalone and consolidated financial statements for year ended March 31, 2022.

(ii)

Whether the amount of permissible capital payment for the proposed buyback of the equity shares as included in the Statement has been properly determined in accordance with the provisions of Section 68(2)(c) of the Act and Regulation 4(i) of the SEBI Buyback Regulations;

(iii)

Whether the Board of Directors have formed the opinion as specified in clause (x) of Schedule I to the SEBI Buyback Regulations on reasonable grounds and that the Company will not, having regard to its state of affairs, will not be rendered insolvent within a period of one year from that date.

6.

The audited standalone and consolidated financial statements, referred to in paragraph 5(i) above, have been audited by another firm of Chartered Accountants on which they have issued an unmodified audit opinion vide their reports dated May 18, 2022.

7.

We conducted our examination of the Statement in accordance with the Guidance Note on Reports or Certificates for Special Purposes issued by the Institute of Chartered Accountants of India. The Guidance Note requires that we comply with the ethical requirements of the Code of Ethics issued by the Institute of Chartered Accountants of India.

8.

We have complied with the relevant applicable requirements of the Standard on Quality Control (SQC) 1, Quality Control for Firms that Perform Audits and Reviews of Historical Financial Information, and Other Assurance and Related Services Engagements.

9.

Our scope of work did not involve us performing audit tests for the purposes of expressing an opinion on the fairness or accuracy of any of the financial information or the financial results of the Company taken as a whole. We have not performed an audit, the objective of which would be the expression of an opinion on the financial results, specified elements, accounts or items thereof, for the purpose of this report. Accordingly, we do not express such opinion.

10.

A reasonable assurance engagement involves performing procedures to obtain sufficient appropriate evidence on the applicable criteria mentioned in paragraph 5 above. The procedures selected depend on the auditor's judgement, including the assessment of the risks associated with the applicable criteria. Our procedures included the following in relation to the Statement:

i)

We have inquired into the state of affairs of the Company in relation to its audited standalone and consolidated financial statements for the year ended March 31, 2022. We have obtained and read the audited standalone and consolidated financial statements for the year ended March 31, 2022 including the unmodified audit opinions dated May 18, 2022;

ii)

Read the Articles of Association of the Company and noted the permissibility of buyback;

iii)

Traced the amounts of paid-up equity share capital, retained earnings, general reserves and securities premium as mentioned in Statement from the audited standalone and consolidated financial statements for the year ended March 31, 2022;

iv)

Obtained from the Company Secretary a certified copy of the minutes of the meeting of the Board of Directors in which the proposed buy-back was approved and compared the buy-back amount with the permissible limit computed in accordance with section 68(2)(c) of the Act and Regulation 4(i) of the SEBI Buyback Regulations detailed in the Statement;

v)

Obtained from the Company Secretary a certified copy of the minutes of the meeting of the Board of Directors in which the proposed buy-back was approved and read the Board had formed the opinion as specified in SEBI Buyback Regulations on reasonable grounds that the Company will not, having regard to the state of affairs, be rendered insolvent within a period of one year from that date;

vi)

Obtained necessary representations from the management of the Company.
- Opinion
11.

Based on our examination as above, and the information and explanations given to us, we report that:

(i)

We have inquired into the state of affairs of the Company in relation to its audited standalone and consolidated financial statements for year ended March 31, 2022.

(ii)

The amount of permissible capital payment for proposed buyback of the equity shares as included in the Statement has been properly determined in accordance with the provisions of Section 68(2)(c) of the Act and Regulation 4(i) of the SEBI Buyback Regulations;

(iii)

The Board of Directors in their meeting held on August 09, 2022 have formed the opinion as specified in clause (x) of Schedule I of the SEBI Buyback Regulations on reasonable grounds and that the Company will not, having regard to its state of affairs, will not be rendered insolvent within a period of one year from that date.
- Restriction on Use
12.

The Report is addressed to and provided to the Board of Directors of the Company pursuant to the requirements of Section 68 and Section 70 of the Act read with Clause (xi) of Schedule I of SEBI Buyback Regulations solely to enable them to include it (a) in the public announcement to be made to the Shareholders of the Company, (b) in the draft letter of offer and letter of offer to be filed with the Securities and Exchange Board of India, the stock exchanges, the Registrar of Companies, the National Securities Depository Limited and the Central Depository Securities (India) Limited and (c) can be shared with the merchant banker involved in connection with the proposed buyback of equity shares of the Company for onward submission to SEBI and stock exchanges and should not be used by any other person or for any other purpose. Accordingly, we do not accept or assume any liability or any duty of care for any other purpose or to any other person to whom this report is shown or into whose hands it may come. We have no responsibility to update this report for events and circumstances occurring after the date of this report.
- For **S.R. Batliboi & Associates LLP**
Chartered Accountants
ICAI Firm Registration Number: 101049WE300004
- per **Navneet Kabra**
Partner
Membership Number: 102328
UDIN: 22102328AORFZV4511
Place of Signature: Hyderabad
Date: August 09, 2022
- Annexure

Statement of determination of the amount of permissible capital repayment for proposed buyback of equity shares ("the Statement") in accordance with Section 68 of the Companies Act, 2013 ("the Act") and regulation 4 of the SEBI Buyback Regulations, based on the audited standalone and consolidated financial statements as at and for the year ended March 31, 2022

Particulars	Amount as per standalone financial statements	Amount as per consolidated financial statements
(a) paid up-equity share capital as at March 31, 2022	[A]	2,480.06
(b) Free reserves as per Section 68 of the Companies Act, 2013		
Retained earnings	[B]	172,848.49
		173,214.23
- | | | | |
|---|-----------------|------------|------------|
| General Reserve | [C] | 30,715.73 | 30,715.73 |
| Securities premium | [D] | 45,604.09 | 45,604.09 |
| Total free reserves as at March 31, 2022 | [E]=[B]+[C]+[D] | 249,168.31 | 249,534.05 |
| Total paid up equity share capital and free reserves as at March 31, 2022 | [F]=[A]+[E] | 251,648.37 | 252,014.11 |
| Maximum amount permissible for buyback under Section 68 of the Act within the powers of the Board of Directors, read with Regulation 4 of SEBI Regulations, i.e. 10% of total paid-up-capital, free reserves and securities premium | [G]=[F]*10% | 25,164.84 | 25,201.41 |
| Maximum amount permitted by Board of Directors vide there resolution dated August 09, 2022 approving the buyback | [H] | 25,000.00 | |
- The buyback is authorized by its articles of association and approved by the Board of Directors via Board resolution dated August 09, 2022
- For and on behalf of the Board of Directors
Granules India Limited

Krishna Prasad Chigurupati
Chairman and Managing Director
DIN: 00020180
- Place: Hyderabad
- Date: August 09, 2022
- Unquote
10. RECORD DATE AND SHAREHOLDER'S ENTITLEMENT
- 10.1

As required under the Buyback Regulations, the Company has fixed **Tuesday, August 23, 2022** as the record date (the "**Record Date**") for the purpose of determining the entitlement and the names of the equity shareholders who are eligible to participate in the Buyback i.e. Eligible Shareholders.

10.2

In due course, Eligible Shareholders will receive a letter of offer in relation to the Buyback ("**Letter of Offer**") along with a Tender/ Offer Form indicating the entitlement of the Eligible Shareholder for participating in the Buyback. Even if the Eligible Shareholder does not receive the Letter of Offer along with a tender form, the Eligible Shareholder may participate and tender shares in the Buyback.

10.3

The Equity Shares proposed to be bought back by the Company as part of the Buyback are divided into two categories:

i.

Reserved category for Small Shareholders (defined hereinafter); and

ii.

General category for all other Eligible Shareholders.

10.4

As defined in Regulation 2(i)(n) of the Buyback Regulations, a "Small Shareholder" is a shareholder of the Company who holds Equity Shares having market value, on the basis of closing price on BSE or NSE (as applicable, contingent on highest trading volume in respect of Equity Shares as on Record Date) as on the Record Date, of not more than ₹200,000 (Rupees Two Lakh Only).

10.5

In accordance with Regulation 6 of the Buyback Regulations, 15% of the number of Equity Shares which the Company proposes to buyback or number of Equity Shares entitled as per the shareholding of Small Shareholders as on the Record Date, whichever is higher, shall be reserved for the Small Shareholders as part of this Buyback.

10.6

On the basis of the shareholding on the Record Date, the Company will determine the entitlement of each Eligible Shareholder, including Small Shareholders, to tender their Equity Shares in the Buyback. This entitlement for each Eligible Shareholder will be calculated based on the number of Equity Shares held by the respective Eligible Shareholder as on the Record Date and the ratio of the Buyback applicable in the category to which such Eligible Shareholder belongs to. The final number of Equity Shares that the Company shall purchase from each Eligible Shareholder will be based on the total number of Equity Shares tendered by such Eligible Shareholder. Accordingly, the Company may not purchase all of the Equity Shares tendered by an Eligible Shareholder.

10.7

After accepting the Equity Shares tendered on the basis of entitlement, the Equity Shares left to be bought back, if any in one category shall first be accepted, in proportion to the Equity Shares tendered over and above their entitlement in the offer by Eligible Shareholders in that category, and thereafter from Eligible Shareholders who have tendered over and above their entitlement in other category.

10.8

In accordance with Regulation 9(ix) of the Buyback Regulations, in order to ensure that the same Eligible Shareholder with multiple demat accounts / folios do not receive a higher entitlement under the small shareholder category, the Equity Shares held by such Eligible Shareholder with a common Permanent Account Number ("PAN") shall be clubbed together for determining the category (small shareholder or general) and entitlement under the Buyback. In case of joint shareholding, the Equity Shares held in cases where the sequence of the PANs of the joint shareholders is identical shall be clubbed together. In case of Eligible Shareholders holding physical shares, where the sequence of PANs is identical and where the PANs of all joint shareholders are not available, the Registrar to the Buyback will check the sequence of the names of the joint holders and club together the Equity Shares held in such cases where the sequence of the PANs and name of joint shareholders are identical. The shareholding of institutional investors like mutual funds, insurance companies, foreign institutional investors / foreign portfolio investors etc. with common PAN are not proposed to be clubbed together for determining their entitlement and will be considered separately, where these Equity Shares are held for different schemes/ sub-accounts and have a different demat account nomenclature based on information prepared by the Registrar to the Buyback as per the shareholder records received from the depositories. Further, the Equity Shares held under the category of "clearing members" or "corporate body margin account" or "corporate body - broker" as per the beneficial position data as on Record Date with common PAN are not proposed to be clubbed together for determining their entitlement and will be considered separately, where these Equity Shares are assumed to be held on behalf of clients.

10.9

The participation of the Eligible Shareholders in the Buyback is voluntary. Eligible Shareholders may opt to participate in part or in full, and receive cash in lieu of the Equity Shares accepted under the Buyback or they may opt not to participate and enjoy a resultant increase in their percentage shareholding, after the completion of the Buyback, without any additional investment. Eligible Shareholders also have the option of tendering additional shares (over and above their entitlement) and participate in the shortfall created due to non-participation of some other Eligible Shareholders, if any. If the Buyback entitlement for any shareholder is not a round number, then the fractional entitlement shall be ignored for computation of Buyback entitlement to tender Equity Shares in the Buyback.

10.10

The maximum number of Equity Shares that can be tendered under the Buyback by any Eligible Shareholder cannot exceed the number of Equity Shares held by the Eligible Shareholder as on the Record Date. In case the Eligible Shareholder holds Equity Shares through multiple demat accounts, the tender through a demat account cannot exceed the number of Equity Shares held in that demat account.

10.11

The Equity Shares tendered as per the entitlement by the Eligible Shareholders as well as additional Equity Shares tendered, if any, will be accepted as per the procedure laid down in the Buyback Regulations. The settlement under the Buyback will be done using the mechanism notified under the SEBI Circulars.

10.12

Detailed instructions for participation in the Buyback (tender of Equity Shares in the Buyback) as well as the relevant time table will be included in the Letter of Offer which will be sent in due course to the Eligible Shareholders. Eligible Shareholders which have registered their email ids with the depositories / the Company, shall be dispatched the Letter of Offer through electronic means. If Eligible Shareholders wish to obtain a physical copy of the Letter of Offer, they may send a request to the Company or Registrar to the Buyback at the address mentioned at para 13 or 14 below. Eligible Shareholders which have not registered their email ids with the depositories / Company, the Letter of Offer shall be dispatched through physical mode.
11. PROCESS AND METHODOLOGY FOR BUYBACK
- 11.1

The Buyback is open to all Eligible Shareholders / beneficial owners of the Company, i.e., the shareholders who on the Record Date were holding Equity Shares either in physical form ("**Physical Shares**") and the beneficial owners who on the Record Date were holding Equity Shares in the dematerialized form ("**Demat Shares**") (such shareholders are referred to as the ("**Eligible Shareholders**"). Any person who does not hold Equity Shares of our Company as on the Record Date will not be eligible to participate in the Buyback and Equity Shares tendered by such person(s) shall be rejected.

11.2

The Buyback shall be implemented using the "Mechanism for acquisition of shares through Stock Exchange" notified by SEBI vide SEBI Circulars and following the procedure prescribed in the Act and the Buyback Regulations, and as may be determined by the Board (including the Buyback Committee authorized to complete the formalities of the Buyback) and on such terms and conditions as may be permitted by law from time to time.

11.3

For implementation of the buyback, the Company has appointed **Motilal Oswal Financial Services Limited** as the registered broker to the Company (the "**Company's Broker**") to facilitate the process of tendering of Equity Shares through the stock exchange mechanism for the Buyback and through whom the purchases and settlements on account of the Buyback would be made by the Company. The contact details of the Company's Broker are as follows:

Motilal Oswal Financial Services Limited;

Address: Motilal Oswal Tower,

Rahimtullah Sayani Road,

Opposite Parel S.T. Bus Depot,

Prabhadevi, Mumbai - 400 025

Contact Person: Krishna Sharma;

Tel. No.: +91 22 7198 5473;

Email: ksharma@motilaloswal.com

Website: www.motilaloswal.com

CIN: L67190MH2005PLC153397

SEBI Registration No.: INZ000158836

11.4

The Company will request BSE Limited, who shall be the designated stock exchange for the purpose of this Buyback, to provide Acquisition Window to facilitate the placing of sell orders by Eligible Shareholders who wish to tender Equity Shares in the Buyback. The details of the Acquisition Window will be as specified by BSE from time to time.

11.5

In the event the Stock Broker(s) of any Eligible Shareholder is not registered with BSE as a trading member/stock broker, then that Eligible Shareholder can approach any BSE registered stock broker and can register themselves by using quick unique client code ("**UCC**") facility through the BSE registered stock broker (after submitting all details as may be required by such BSE registered stock broker to be in compliance with applicable law). In case the Eligible Shareholders are unable to register using UCC facility through any other BSE registered stock broker, Eligible Shareholders may approach Company's Broker to place their bids, by using UCC facility after submitting requisite documents.

11.6

During the tendering period, the order for selling the Equity Shares will be placed in the Acquisition Window by Eligible Shareholders through their respective stock brokers during normal trading hours of the secondary market. The stock brokers ("**Seller Member(s)**") can enter orders for demat shares as well as physical shares. In the tendering process, the Company's Broker may also process the orders received from the

contd...pg/2

- 11.8

The reporting requirements for Non-Resident Shareholders under Reserve Bank of India, Foreign Exchange Management Act, 1999, as amended and any other rules, regulations, guidelines, for remittance of funds, shall be made by the Eligible Shareholder and/or the Seller Member through which the Equity Shareholder places the bids.
- 11.9

Modification / cancellation of orders and multiple bids from a single Eligible Shareholder will be allowed during the tendering period of the Buyback. Multiple bids made by single Eligible Shareholder for selling the Equity Shares shall be clubbed and considered as "one" bid for the purposes of acceptance.
- 11.10

The cumulative quantity tendered shall be made available on the website of BSE throughout the trading sessions and will be updated at specific intervals during the tendering period.
- 11.11

Further, the Company will not accept Equity Shares tendered for Buyback which are under restraint order of the court for transfer / sale and / or the title in respect of which is otherwise under dispute or where loss of share certificates has been notified to the Company and the duplicate share certificates have not been issued either due to such request being under process as per the provisions of law or otherwise not clear.
- 11.12

Procedure to be followed by Eligible Shareholders holding Equity Shares in the dematerialised form:

11.12.1

Eligible Shareholders who desire to tender their Equity Shares held by them in dematerialised form under the Buyback would have to do so through their respective Seller Member by indicating to the concerned Seller Member, the details of Equity Shares they intend to tender under the Buyback.

11.12.2

The Seller Member(s) would be required to place an order / bid on behalf of the Eligible Shareholders who wish to tender Demat Shares in the Buyback using the Acquisition Window of the Designated Stock Exchange. Before placing the order/ bid, the Eligible Shareholder would be required to transfer the number of Equity Shares tendered to the special account of Indian Clearing Corporation Limited (referred to as the "Clearing Corporation") specifically created for the purpose of Buyback offer, by using the early pay-in mechanism as prescribed by the Designated Stock Exchange or the Clearing Corporation prior to placing the bid by the Seller Member. This shall be validated at the time of order/ bid entry.

11.12.3

The details of the Special Account of the Clearing Corporation and the settlement number shall be informed in the issue opening circular that will be issued by the Designated Stock Exchange and/or the Clearing Corporation.

11.12.4

The lien shall be marked in the demat account of the Eligible Shareholders for the Equity Shares tendered in the Buyback. The details of Equity Shares marked as lien in the demat account of the Eligible Shareholders shall be provided by the depositories to the Clearing Corporation.

11.12.5

In case, the demat account of the Eligible Shareholders is held in one depository and clearing member pool and clearing corporation account is held with other depository, the Equity Shares tendered under the Buyback shall be blocked in the shareholders demat account at the source depository during the tendering period. Inter Depository Tender Offer ("IDT") instructions shall be initiated by the shareholders at source depository to clearing member pool / Clearing Corporation account at target depository. Source depository shall block the shareholder's securities (i.e., transfers from free balance to blocked balance) and sends IDT message to target depository for confirming creation of lien. Details of shares blocked in the shareholders demat account shall be provided by the target depository to the Clearing Corporation.

11.12.6

For custodian participant orders for demat Equity Shares, early pay-in is mandatory prior to confirmation of order by custodian participant. The custodian participant shall either confirm or reject the orders not later than the closing of trading hours on the last day of the tendering period. Thereafter, all unconfirmed orders shall be deemed to be rejected. For all confirmed custodian participant orders, order modification by the concerned Selling Member shall revoke the custodian confirmation and the revised order shall be sent to the custodian again for confirmation.

11.12.7

Upon placing the bid, the Seller Member(s) shall provide a Transaction Registration Slip ("TRS") generated by the exchange bidding system to the Eligible Shareholder on whose behalf the bid has been placed. The TRS will contain the details of order submitted such as bid ID number, application number, Depository Participant ID, client ID, number of Equity Shares tendered, etc.

11.12.8

It is clarified that in case of Demat Shares, submission of the tender form and TRS is not mandatory. In case of non-receipt of the completed tender form and other documents, but receipt of Equity Shares in the accounts of the Clearing Corporation and a valid bid in the exchange bidding system, the bid for Buyback shall be deemed to have been accepted.

11.12.9

The Eligible Shareholders will have to ensure that they keep the depository participant ("DP") account active and unblocked to receive credit in case of return of Equity Shares due to rejection or due to prorated Buyback decided by the Company. Further, Eligible Shareholders will have to ensure that they keep the bank account attached with the DP account active and updated to receive credit remittance due to acceptance of Buyback of shares by the Company.

11.13

Procedure to be followed by Eligible Shareholders holding Equity Shares in the Physical form:

11.13.1

In accordance with the SEBI circular no. SEBI/HO/CFD/CMD1/CIR/P/2020/144 dated July 31, 2020 the physical shareholders are allowed to tender their shares in a buyback undertaken through the tender offer route. However, such tendering shall be as per the provisions of the Buyback Regulations and terms of Letter of Offer.

11.13.2

Eligible Shareholders who are holding physical Equity Shares and intend to participate in the Buyback will be required to approach their respective Seller Member along with the complete set of documents for verification procedures to be carried out before placement of the bid, including (i) the tender form duly signed by all Eligible Shareholders (in case shares are in joint names, in the same order in which they hold the shares), (ii) original Equity Share certificate(s), (iii) valid share transfer form(s) / Form SH-4 duly filled and signed by the transferors (i.e. by all registered Eligible Shareholders in the same order and as per the specimen signatures registered with the Company) and duly witnessed at the appropriate place authorizing the transfer in favour of the Company, (iv) self-attested copy of the PAN card of all the Eligible Shareholders (v) any other relevant documents such

as, but not limited to, duly attested power of attorney, corporate authorization (including board resolution/specimen signature), notarized copy of death certificate and succession certificate or probated will, if the original Eligible Shareholder has deceased, etc., as applicable. In addition, if the address of the Eligible Shareholder has undergone a change from the address registered in the Register of Members of the Company, the Eligible Shareholder would be required to submit a self-attested copy of address proof consisting of any one of the following documents: valid Aadhar Card, Voter Identity Card or Passport.

11.13.3 Based on the documents mentioned in the paragraph above, the concerned Seller Member shall place an order/ bid on behalf of the Eligible Shareholders holding physical Equity Shares who wish to tender Equity Shares in the Buyback, using the Acquisition Window of BSE. Upon placing the bid, the Seller Member shall provide a TRS generated by the exchange bidding system to the Eligible Shareholder. TRS will contain the details of order submitted like Folio No., Certificate No., Distinctive No., No. of Equity Shares tendered, etc.

11.13.4 Any Seller Member / Eligible Shareholder who places a bid for physical Equity Shares, is required to deliver the original share certificate(s) and documents (as mentioned above) along with TRS either by registered / speed post or courier or hand delivery to the Registrar to the Buyback (at the address mentioned at paragraph 14 below) on or before the Buyback closing date. The envelope should be super scribed as "Granules India Limited Buyback 2022". One copy of the TRS will be retained by Registrar to the Buyback and it will provide acknowledgement of the same to the Seller Member / Eligible Shareholder.

11.13.5 Eligible Shareholders holding physical Equity Shares should note that physical Equity Shares will not be accepted unless the complete set of documents are submitted. Acceptance of the physical Equity Shares for Buyback by the Company shall be subject to verification as per the Buyback Regulations and any further directions issued in this regard. The Registrar to the Buyback will verify such bids based on the documents submitted on a daily basis and till such verification, the Designated Stock Exchange i.e. BSE shall display such bids as 'unconfirmed physical bids'. Once Registrar to the Buyback confirms the bids, they will be treated as 'Confirmed Bids'.

11.13.6 In case any Eligible Shareholder has submitted Equity Shares in physical form for dematerialisation, such Eligible Shareholders should ensure that the process of getting the Equity Shares dematerialised is completed well in time so that they can participate in the Buyback before the closure of the tendering period of the Buyback.

11.13.7 An unregistered shareholder holding Equity Shares in physical form may also tender their Equity Shares in the Buyback by submitting the duly executed transfer deed for transfer of shares, purchased prior to the Record Date, in their name, along with the offer form, copy of their PAN card and of the person from whom they have purchased shares and other relevant documents as required for transfer, if any.

12. METHOD OF SETTLEMENT

12.1

Upon finalization of the basis of acceptance as per Buyback Regulations:

12.1.1

The settlement of trades shall be carried out in the manner similar to settlement of trades in the secondary market.

12.1.2

The Company will pay the consideration to the Company's Broker who will transfer the consideration pertaining to the Buyback to the Clearing Corporation's Bank account as per the prescribed schedule. The settlement of fund obligation for Demat Shares shall be affected as per the SEBI circulars and as prescribed by BSE and the Clearing Corporation from time to time. For Demat Shares accepted under the Buyback, such beneficial owners will receive funds payout in their bank account as provided by the depository system directly to the Clearing Corporation and in case of Physical Shares, the Clearing Corporation will release the funds to the Seller Member(s) as per secondary market payout mechanism for releasing the same to the respective Eligible Shareholder's account. If such shareholder's bank account details are not available or if the funds transfer instruction is rejected by the Reserve Bank of India ("RBI") / bank(s), due to any reasons, then the amount payable to the concerned shareholders will be transferred to the Seller Member's settlement bank account for onward transfer to such shareholders.

12.1.3

In case of Eligible Shareholder where there are specific RBI and other regulatory requirements pertaining to funds pay-out, which do not opt to settle through custodians, the funds pay-out would be given to their respective Seller Members' settlement bank account for onward transfer to the Eligible Shareholders. For this purpose, the client type details would be collected from the depositories.

12.1.4

The Equity Shares bought back in demat form would be transferred directly to the demat escrow account of the Company opened for the Buyback (the "Company Demat Account") provided it is indicated by the Company's Broker or it will be transferred by the Company's Broker to the Company Demat Account on receipt of the Equity Shares from the clearing and settlement mechanism of BSE.

12.1.5

Eligible Shareholder will have to ensure that they keep their depository participant ("DP") account active and unblocked to receive credit in case of return of Equity Shares, due to rejection or due to non/partial acceptance of shares under the Buyback. Excess Equity Shares or unaccepted Equity Shares, in dematerialised form, if any, tendered by the Eligible Shareholders would be transferred by the Clearing Corporation directly to the respective Eligible Shareholder's DP account. If the securities transfer instruction is rejected in the depository system, due to any issue then such securities will be transferred to the Seller Member's depository pool account for onward transfer to such Eligible Shareholder.

12.1.6

In the case of inter-depository, the Clearing Corporation will cancel the excess or unaccepted shares in target depository. The source depository will not be able to release the lien without a release of Inter Depository Tender Offer message from target depository. Further, release of IDT message shall be sent by target depository either based on cancellation request received from the Clearing Corporation or automatically generated after matching with Bid accepted detail as received from the Company or the Registrar to the Buyback. Post receiving the IDT message from target depository, source depository will cancel / release excess or unaccepted block shares in the demat account of the Eligible Shareholder. Post completion of tendering period and receiving the requisite details viz., demat account details and accepted bid quantity, source depository shall debit the securities as per the communication / message received from target depository to the extent of accepted bid shares from Eligible Shareholder's demat account and credit it to Clearing Corporation settlement account in target depository on settlement date.

12.1.7

Any excess Equity Shares, in physical form, pursuant to proportionate acceptance / rejection will be returned back to the Eligible Shareholders directly by the Registrar to the Buyback. The Company is authorized to split the share certificate and issue new consolidated share certificate for the unaccepted Equity Shares, in case the Equity Shares accepted by the Company are less than the Equity Shares tendered in the Buyback by Eligible Shareholders holding Equity Shares in the physical form.

12.1.8

The Seller Member(s) would issue contract note for the Equity Shares accepted under the Buyback and return the balance unaccepted Equity Shares to their respective clients/ will unblock the excess unaccepted Equity Shares. The Company Broker would also issue a contract note to the Company for the Equity Shares accepted under the Buyback.

12.1.9

Eligible Shareholders who intend to participate in the Buyback should consult their respective Seller Member(s) for details of any cost, applicable taxes, charges and expenses (including brokerage), etc. that may be levied by the Seller Member upon the Eligible Shareholders placing the order to sell the shares on behalf of the shareholders. The Buyback consideration received by the Eligible Shareholders, in respect of accepted Equity Shares, could be net of such costs, applicable taxes, charges and expenses (including brokerage) and the Manager to the Buyback and the Company accept no responsibility to bear or pay such additional cost, charges and expenses (including brokerage) levied by the Seller Member, and such costs will be incurred solely by the Eligible Shareholders.

12.1.10

The Equity Shares accepted, bought and lying to the credit of the Company Demat Account and the Equity Shares bought back and accepted in physical form will be extinguished in the manner and following the procedure prescribed in the Buyback Regulations.

13. COMPLIANCE OFFICER

The Board at their meeting held on August 9, 2022 appointed Ms. Chaitanya Tummala, Company Secretary and Compliance Officer of the Company, as the compliance officer for the purpose of the Buyback ("Compliance Officer"). Investors may contact the Compliance Officer for any clarifications or to address their grievances, if any, during office hours i.e. 10.00 am to 5.00 pm on all working days except Saturday, Sunday and public holidays till the closure of the Buyback, at the following address:

Company Secretary and Compliance Officer:

Ms. Chaitanya Tummala
Granules India Limited
Address: Second Floor, Block III, My Home Hub,
Madhapur, Cyberabad, Hyderabad - 500 081, Telangana.
Tel. No.: +91 40 69043500
Website: www.granulesindia.com
Email: investorrelations@granulesindia.com
CIN: L24110TG1991PLC012471

14. REGISTRAR TO THE BUYBACK / INVESTOR SERVICE CENTRE

In case of any queries, shareholders may also contact the Registrar to the Buyback during office hours i.e. 10.00 a.m. to 5.00 p.m. on all working days except Saturday, Sunday and public holidays, at the following address:

KFin Technologies Limited,
(Formerly known as "KFin Technologies Private Limited")
Address: Selenium, Tower B,
Plot 31-32, Financial District,
Nanakramguda, Serilingampally,
Hyderabad - 500 032
Tel. No.: +91 40 6716 2222
Toll Free No.: 18003094001
Email: gil.buyback@kfintech.com
Website: www.kfintech.com
Investor Grievance Email: einward.ris@kfintech.com
Contact Person: Mr. Murali Krishna
SEBI Registration No.: INR000000221
CIN: U72400TG2017PLC117649

15. MANAGER TO THE BUYBACK

Motilal Oswal Investment Advisors Limited
Motilal Oswal Tower, Rahimtullah Sayani Road,
Opposite Parel ST Depot, Prabhadevi,
Mumbai- 400 025, Maharashtra, India
Tel. No.: +91 22 7193 4380
Email: granulesbuyback2022@motilaloswal.com
Website: www.motilaloswalgroupp.com
Contact person: Kirti Kanoria/ Ritu Sharma
SEBI Registration No.: INM000011005
CIN: U67190MH2006PLC160583

16. DIRECTOR'S RESPONSIBILITY

As per Regulation 24(i)(a) of the Buyback Regulations, the Board of Directors of the Company accepts responsibility for the information contained in this Public Announcement and confirms that such document contains true, factual and material information and does not contain any misleading information.

For and on behalf of the Board of Directors of Granules India Limited

Sd/-	Sd/-	Sd/-
Krishna Prasad Chigurupati Chairman and Managing Director DIN: 00020180	Arun Rao Akinepally Independent Director DIN: 00876993	Chaitanya Tummala Company Secretary & Compliance Officer Membership No.: A29978

Date: August 10, 2022
Place: Hyderabad